Module 1 - Case Study – Thomas Cook

What happened at Thomas Cook?

The question remains, what really happened at Thomas Cook?

Thomas Cook originally formed as a tour-operator company in 1841 in Leicestershire, England by Mr Thomas Cook. Initially the business was focused on one-day rail excursions, but over time grew to become a major international tour operator expanding into various aspects of the hospitality industry including airlines, hotels, resorts and cruises. Thomas Cook was a household name in the UK and many other countries.

Fast forward to 2019 at a time when Thomas Cook appeared to plummet from international success to financial destitution. Various reports cite bank demands of around £200m ($250m) to enable continuation of operations. Thomas Cook declared it had no alternative other than to enter compulsory liquidation with immediate effect. This marked the cessation of trading after 178 successful years. This move shook the business world and the general public and left many holidaymakers potentially stranded overseas. At the time of the announcement the UK Civil Aviation Authority estimated there to be more than 150,000 Thomas Cook customers abroad.

The question remains as to the true cause of the demise suffered by Thomas Cook. Various factors have been cited including the weather, the economy, 'Brexit', political turmoil, financial demands and changes, social changes and competition. The question was posed whether travel agents are still required, or whether modern travel makers prefer to book directly online.

The 2019 collapse of Thomas Cook

At the time of the collapse in September 2019 Tim Jeans, a former managing director of Monarch who left long before its collapse, told BBC 5 live Thomas Cook had "an analogue business model in a digital world" in the following article:

https://www.bbc.co.uk/news/business-46452374

The article continues on to state that in the summer of 2018, shares in Thomas Cook were trading at just below 150p. But after **a series of profit warnings**, the price had fallen to just a fraction of that. Earlier this year, **analysts at Citigroup bank described the travel firm's shares as "worthless"**.

In May, Thomas Cook reported a £1.5bn loss for the first half of its financial year, with £1.1bn of the loss caused by the decision to write down the value of My Travel, the business it merged with in 2007.

However, it warned of "further headwinds" for the rest of the year and said there was "now little doubt" that Brexit had caused customers to delay their summer holiday plans.

The company then put its airline up for sale in an attempt to raise badly-needed funds.

Thomas Cook later announced **it was in advanced talks with its banks and largest shareholder**, China's Fosun.

The troubled operator hoped to seal a rescue led by Fosun, but the creditor banks issued a last-minute demand that the travel company find an extra £200m, which it was unable to do.

As well as weak trading, the company's big problem in 2011 was too much debt - about £2bn when the pension deficit was included. It tried to put its borrowing problem behind it in 2013, with a £425m fundraising from shareholders.
But there is evidence of deeper problems, as well as a lack of management control. The company stopped paying dividends to shareholders in 2011 as the previous crisis hit, but resumed them in 2017 and again last year - an odd thing to do if trading, and solvency, was tight.

Post-collapse questions

After the collapse of such a household name, many questions were posed including whether firms all they appear to be in their accounts, and whether accounting regulations work.

One key question that was raised at the time was the evidence of any accounting failures.

The following article discusses the potential presence of accounting failures:

https://www.accountingweb.co.uk/business/finance-strategy/thomas-cook-management-under-fire-for-litany-of-accounting-failures

“It is obvious there has been no financial control in that company for some time,” said Adnan Sajid, corporate finance partner at UHY Hacker Young in Manchester. “Looking at the books, you can see a litany of accounting failures.”

He told AccountingWEB the firm did not have enough structural capital, would struggle to survive even minimal trading difficulties, and there had been no challenge of this at senior level.

“It’s a sad day for a British institution, that many people trust, but I don’t think it was unpredictable,” said Sajid. “This is a two-to-three-year problem, and they should have come to the experts a long time ago to help with things like migrating the business away from retail, better managing the balance sheet.”

Auditors Ernst & Young took over the reins from PricewaterhouseCoopers in 2018, and immediately warned it had “strongly recommended” to management that they strengthen the process over the “identification and approval” of exceptional items listed in its annual report.

EY’s late flagging of Thomas Cook’s tendency to classify costs as exceptional wherever could was ultimately not enough to avert the company’s doomed course.

Both EY and PwC declined to offer comment.

The Financial Reporting Council, the UK's accounting regulator, told AccountingWEB it was monitoring the situation, and on Tuesday released a statement indicating imminent action.

"In light of recent developments at Thomas Cook we are considering whether there is any case for investigation and enforcement action as a matter of urgency and in cooperation with the Insolvency Service," the FRC said.

One year on, from the collapse of Thomas Cook

In September 2020, after a turbulent year, Thomas Cook were resurrected as an online-only travel business at a time when the tourism industry were facing an industry-wide crisis following COVID19.

One article regarding Thomas Cook online launch in September 2020:

https://www.theguardian.com/travel/2020/sep/16/thomas-cook-relaunches-as-online-travel-agent

Current Day position

Thomas Cook currently continue to operate as an online-only travel agent.

Activity:

Review of Thomas Cook

Required:

After reading the above precis and associated links, you are required to perform academic and professional research regarding the story of Thomas Cook.

Your review should consider the lessons that can be learnt from the events at Thomas Cook including the reliability and effectiveness of accounting regulations and concepts as a sole measure of organisation stability and success.

This is a self-study piece of work and does not require submission.

You may wish to discuss your findings and thoughts with fellow students via the Discussion Board area of Canvas.

Activity Purpose

This activity will help you understand risk and the complicated issues which may arise in organisations. You may encounter similar scenarios and issues in your careers as Actuaries/Business Analysts/Strategists/Consultants.